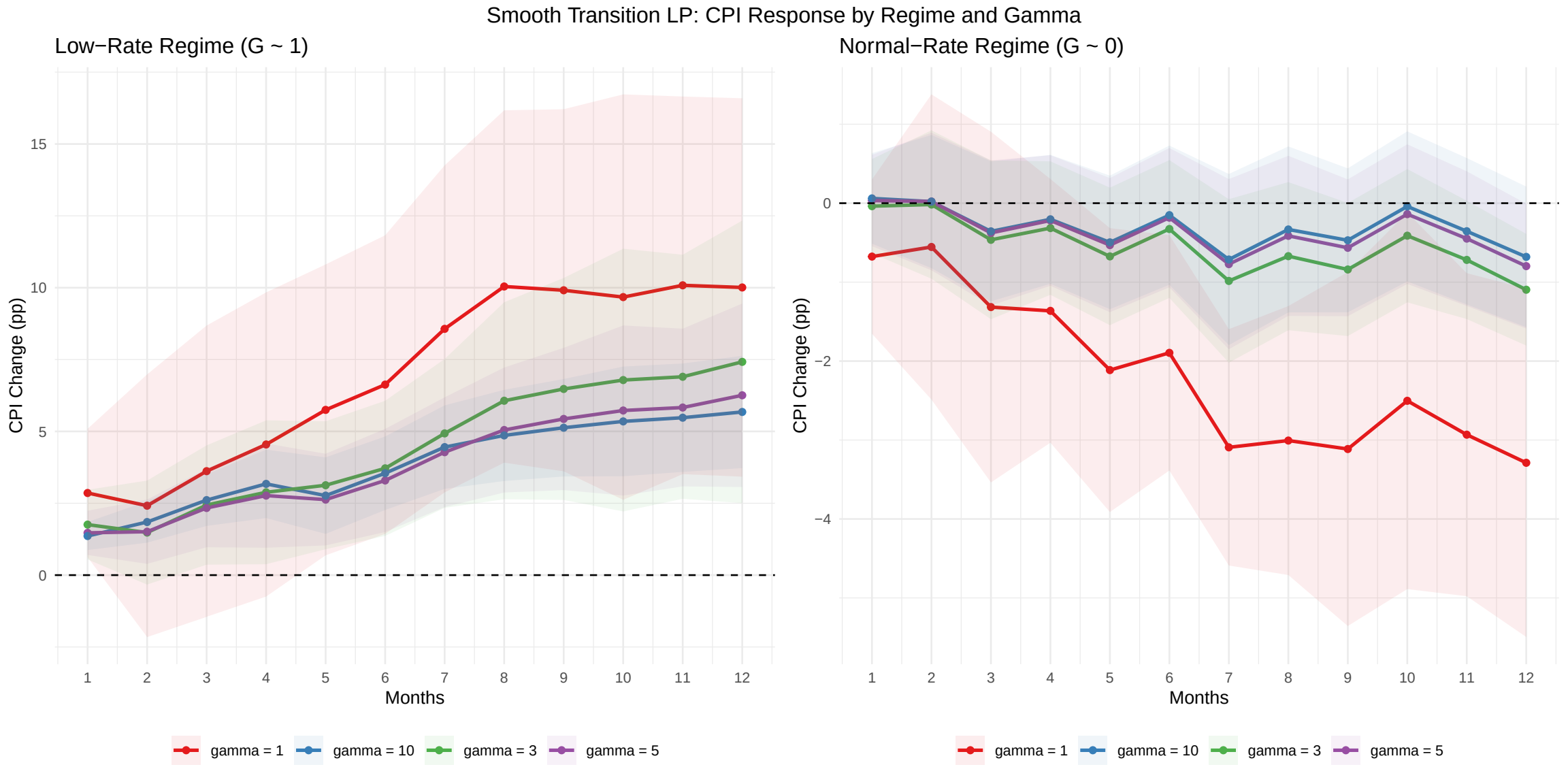
Smooth Transition LP: CPI Response by Regime and Gamma
Low−Rate Regime (G ~ 1)
Normal−Rate Regime (G ~ 0)
CPI Change (pp)
Months
15
10
5
0
−2
−4
1
2
3
4
5
6
7
8
9
10
11
12
gamma = 1
gamma = 10
gamma = 3
gamma = 5